

TABLE 3-3
INCOME AND WEALTH CONTRASTS

Households	Total Annual Realized Income	Total Income Tax	Tax As % of Realized Income	Total Net Worth	Tax As % of Net Worth
THE NORTHS	\$730,000	\$277,000	38	\$7,500,000	4
THE SOUTHS	\$715,000	\$300,000	42	\$400,000	75

2: Increased government spending and the federal deficit

Dr. South is very concerned about this issue. He believes that increased spending on the part of the government will translate into higher taxes on his income. Dr. North is not overly concerned for the reasons stated above.

3: A high rate of inflation

Dr. South is also concerned that such government action as increased spending and an increase in the deficit will precipitate a significant increase in the inflation rate. Dr. South has a moderate level of concern about this issue because he, like many UAWs, keeps trading up to more and more expensive homes, cars, clothes, and so on. On the other hand, Dr. North feels that inflation will significantly increase the value of at least part of his investment portfolio!

4: Increased government regulation of business and industry

Most physicians feel that this type of government action is targeted at them. They interpret increases in government regulation as preceding the advent of socialized medicine. Both physicians feel that this would have a dampening effect on the fees they generate for their professional services. Dr. South indicated that this issue is of significant concern to him, while Dr. North viewed such action as only a minor concern.

Why do these two respondents perceive things so differently?